

service broker unless you want advice regarding which stocks you should buy. Since brokers are paid on commission, they stand to gain financially from their recommendation; you should make up your own mind about what to buy or sell. Don't buy on a broker's recommendation alone.

Another way to buy stocks is through a direct stock purchase plan (DSPP). There is little or no cost and you will have the shares registered in your name. Some of the most well-known companies such as AT&T (\$500 minimum), ExxonMobil (\$250 minimum), Intel (\$250 minimum), Coca Cola (\$500 minimum), and McDonalds (\$500 minimum) can be bought this way. Purchasing shares through a broker will cause the shares to be registered in the broker's name, commonly referred to as "street name." The advantage of having shares registered with your broker is the convenience of having instant access to sell those shares, making the shares more liquid, but don't be tempted to sell those shares prematurely.

If the brokerage company has some difficulties with its finances or government regulations, those shares may be frozen for a period of time. A listing of shares that have a DSPP can be found online at www.computershare.com.

Many companies also offer dividend reinvestment plans (DRIPs). Corporations often pay out part of their earnings as dividends to shareholders, usually quarterly. The dividend can be paid in cash or stock. With a DRIP, you can reinvest the dividends in additional shares of stock, often without paying a commission. When the stock price goes up, so does the value of your reinvested shares. If you take your dividends in cash instead of stock, you lose the opportunity for them to increase in value as the price of the stock goes up.

The best way to invest is to do your research. Some really good investment research websites include www.motleyfool.com, www.finance.yahoo.com, and www.smartmoney.com. You don't need to "churn" your stocks, buying and selling constantly and trying to anticipate ups and downs in the market. You can't afford to ignore changes in the financial condition of the companies you've invested in, but you shouldn't have to review their status more than quarterly. If something fundamental about a company has changed and you believe the stock won't regain its value, think about selling it.

You should also heavily consider those companies that have a long history of paying dividends to their shareholders, and tend to increase those